

Promod Sharma v. State of U.P. And Another

Allahabad High Court · Division Bench · 7 August 2018 · Writ - C No. - 26575 of 2018 · **Writ petition allowed; final assessment dated 19.06.2018 quashed; petitioner to appear before the Executive Engineer on 27.8.2018 with a fresh objection and evidence; speaking final order within 15 days after considering the objections; Section 127 appeal remains open against any such final order**

HEADNOTE

Clause 6.8(c)(i) of the U.P. Electricity Supply Code, 2005 requires the Assessing Officer to hear the consumer, give due consideration to the facts submitted, and pass within 15 working days a speaking order as to whether unauthorised use of electricity is established, containing a brief of the inspection report and the consumer's written and oral submissions. A final assessment that does not consider objections already on record, and is non-speaking, is a mechanical order and is quashed. That an earlier Division Bench had remitted the matter for a fresh provisional assessment, and that the consumer filed no fresh objection to that remitted notice, does not authorise a non-speaking final order that ignores the earlier objection on record against the prior provisional assessment. The consumer is to appear with a fresh objection; a speaking final order is to follow within 15 days. A Section 127 appeal remains available against any such subsequent final order. The Court did not decide whether unauthorised use was established or the quantum of Rs. 1,86,147.

FACTUAL SUMMARY

Promod Sharma, holder of electricity connection No. 1410130013, filed Writ-C No. 26575 of 2018 seeking to quash a final assessment dated 19 June 2018 and to restrain recovery and disconnection. He had earlier succeeded in Writ Petition No. 4126 of 2018: on 31 January 2018 a Division Bench held that the provisional-assessment notice was not in accordance with law and that he had not been afforded the opportunity under para 6.8(b) of the U.P. Electricity Supply Code, 2005; it quashed the demand/recovery notice dated 5 December 2017 and directed a fresh provisional assessment, with a reasoned final order after considering his objection.

A fresh provisional assessment was then issued. The Court recorded that he did not file a fresh objection, and a final assessment dated 19 June 2018 assessed Rs. 1,86,147. Counsel submitted that his objection to the earlier provisional assessment dated 27 November 2017 was already on record and had not been considered. The prayer also referred to an application/objection dated 23 December 2017 as still pending. Shashi Kant Gupta and Ajit Kumar, JJ. allowed the writ on 7 August 2018.

REUSABLE CONSTRUCTIONS

1. Clause 6.8(c)(i) of the U.P. Electricity Supply Code, 2005 requires the Assessing Officer to hear the consumer, give due consideration to the facts submitted, and pass a speaking order as to whether unauthorised use is established, containing a brief of the inspection report and the consumer's written and oral submissions. ¶ 5
2. A final unauthorised-use assessment that does not consider the consumer's objections on record, and is non-speaking, is a mechanical order and is liable to be quashed. ¶ 5-7
3. Failure to file a fresh objection after a court-directed fresh provisional assessment does not authorise a non-speaking final assessment that ignores an earlier objection already on record against the prior provisional assessment. ¶ 3-6
4. After such a quash the assessing officer must pass a speaking final order considering the objections; a Section 127 appeal remains available against that subsequent final order. ¶ 7-8

HOLDING-UNITS

HOLDING-UNIT · UP-2005::6.8(c)(i)

speaking final UUE assessment must consider objections on record; non-speaking mechanical order quashed even if no fresh

QUESTION

Where a fresh provisional assessment is issued after a writ remittal and the consumer files no fresh objection, may a non-speaking final assessment stand if an earlier objection to the prior provisional assessment remains on record and is not considered?

HOLDING

No. After Writ Petition No. 4126 of 2018 quashed the 05.12.2017 demand for want of a lawful provisional-assessment notice and opportunity under para 6.8(b), a fresh provisional assessment was issued. The petitioner filed no fresh objection, and a final assessment dated 19.06.2018 assessed Rs. 1,86,147. Counsel said the objection to the 27.11.2017 provisional assessment was already on record and had not been considered. The Court found that those grounds had not been considered at all and that the order was mechanical and casual. Clause 6.8(c)(i) requires a hearing, due consideration of the facts submitted, and a speaking order within 15 working days as to whether UUE is established, containing a brief of the inspection report and the consumer's written reply and hearing submissions. The 19.06.2018 order was absolutely non-speaking, showed no application of mind, and did not show that the objections had been considered. The writ is allowed and that final assessment is quashed. The petitioner is to appear before the Executive Engineer (respondent no. 2) on 27.8.2018 at 11 A.M. with a certified copy, the writ annexures, a fresh objection and any supporting evidence; respondent no. 2 shall then pass a speaking final order within 15 days after considering the objections and the contentions raised. ¶ 2-7

FLAG Source is an unnumbered 7.8.2018 disposal. Paras 1–8 are sequential blocks from 'This writ petition, inter alia, has been filed'. The extracted text twice prints the impugned date as '19.06.218' (prayer and operative paragraph); the narrative recites 19.6.2018. The quoted 31.1.2018 order in W.P. No. 4126 of 2018 referred to 'para 6.8 (b) of U.P. Electricity Code, 2005'; this disposal applies Clause 6.8(c)(i) of the Uttar Pradesh Electricity Supply Code, 2005, which it reproduces.

HOLDING-UNIT · EA2003::127

Section 127 appeal remains open against a subsequent speaking final assessment after the writ quash

QUESTION

After a non-speaking final assessment is quashed and a fresh speaking order directed, what remedy remains if the consumer is still aggrieved?

HOLDING

If any final order is passed pursuant to the Court's direction, it is always open to the petitioner to file an appeal under Section 127 of the Electricity Act, 2003 in accordance with law before the concerned authority. The Court did not relegate this writ to that appeal; it quashed the 19.06.2018 assessment on the Clause 6.8(c)(i) defect. ¶ 8

QUALIFIER

Saving observation after the quash and remittal; not a dismissal for alternative remedy.

PRINCIPLE TAGS

clause-6.8-hearing-procedure-mandatory-before-uue-conclusion The Court applied Clause 6.8(c)(i): on the date of hearing the Assessing Officer must hear the consumer, give due consideration to the facts submitted, and pass a speaking order as to whether UUE is established, containing a brief of the inspection report and the consumer's written and oral submissions. ¶ 5-6

assessment-provisional-objection-speaking-order The 19.06.2018 final assessment was held to be absolutely non-speaking, to show no application of mind, and not to show that the petitioner's objections had been considered; a speaking final order after considering objections was directed within 15 days. ¶ 5-7

assessment-quashed-for-breach-of-clause-6.8-procedure Breach of Clause 6.8(c)(i) — failure to consider the objection on record and to pass a speaking order — led to certiorari quashing the 19.06.2018 final assessment of Rs. 1,86,147. ¶ 5-7

6.8-procedure-mandatory That the petitioner had not filed a fresh objection to the remitted provisional assessment did not excuse a mechanical, non-speaking final order that ignored the earlier objection already on record against the 27.11.2017 provisional assessment. ¶ 3-6

After the quash, the petitioner was directed to appear on 27.8.2018 with a fresh objection and evidence; the Executive Engineer is to pass a speaking final order within 15 days considering those objections. ¶ 7

Non-compliance with Clause 6.8(c)(i) vitiated the final assessment itself; the order was quashed rather than left to stand for recovery or for a Section 127 appeal on quantum. ¶ 6-7

NOT DECIDED — NEGATIVE AUTHORITY

NOT DECIDED — WHETHER UNAUTHORISED USE OF ELECTRICITY WAS ESTABLISHED, AND THE CORRECTNESS OR QUANTUM OF THE RS. 1,86,147 ASSESSMENT

Left to a speaking final order after considering objections; the Court did not assess UUE or the amount. ¶ 5-7

NOT DECIDED — WHETHER THE PETITIONER WAS OBLIGED TO FILE A FRESH OBJECTION TO THE REMITTED PROVISIONAL ASSESSMENT, AND THE LEGAL EFFECT OF NOT DOING SO IF NO EARLIER OBJECTION HAD BEEN ON RECORD

The Court proceeded on the finding that the earlier objection to the 27.11.2017 provisional assessment was on record and unconsidered; it did not decide a default-finality rule in the abstract. ¶ 3-6

NOT DECIDED — MERITS OF THE APPLICATION/OBJECTION DATED 23.12.2017 RECITED IN THE PRAYER AS STILL PENDING

Not separately adjudicated; the operative direction is appearance with a fresh objection and a speaking final order. ¶ 1, 7

NOT DECIDED — INDEPENDENT RESTRAINT ON DISCONNECTION OF CONNECTION NO. 1410130013

Sought in the prayer; the Court quashed the 19.06.2018 assessment and remitted for a speaking order, without a separate continuing injunction on disconnection. ¶ 1, 7